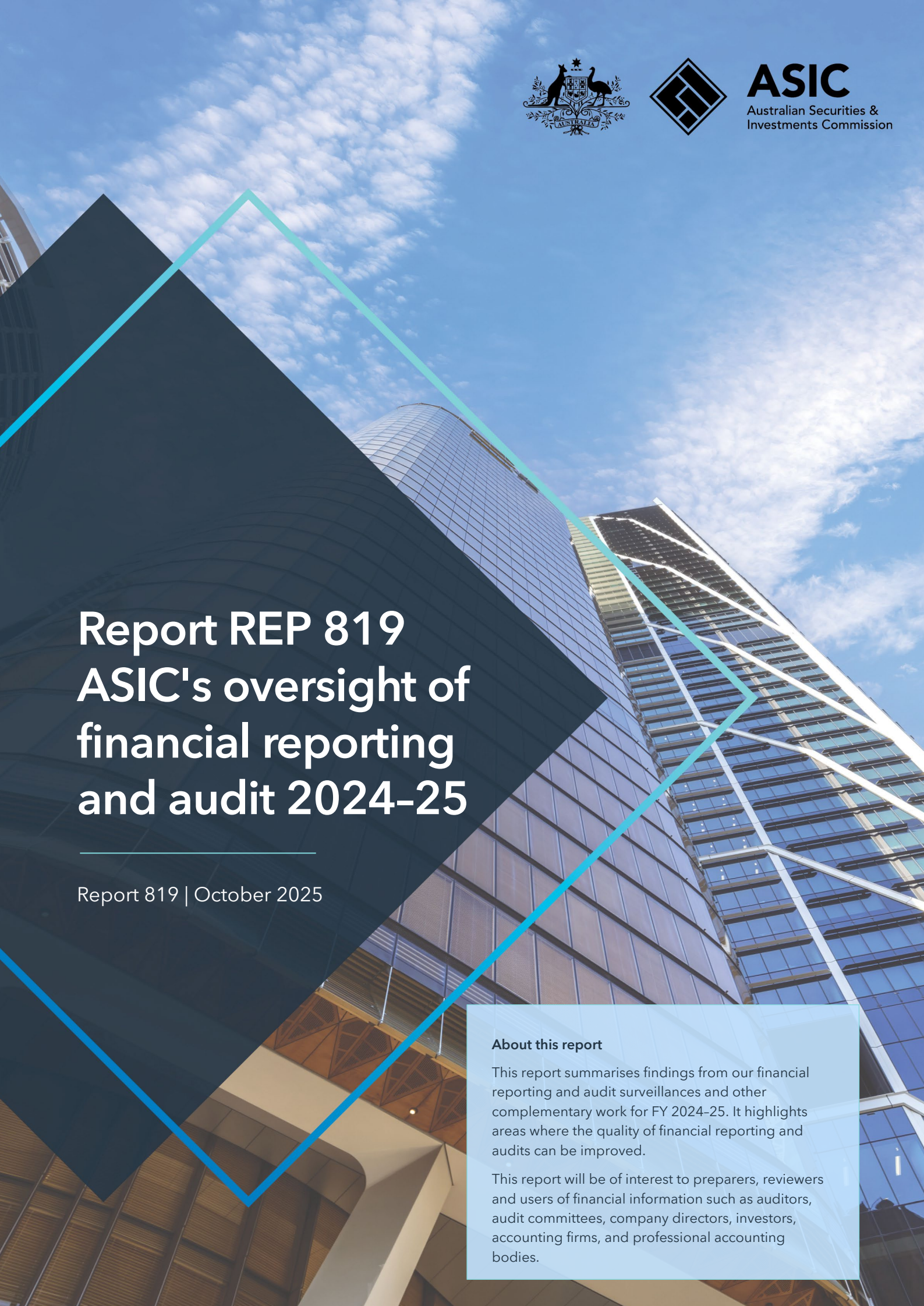


ASIC
Australian Securities & Investments Commission

Report REP 819 ASIC's oversight of financial reporting and audit 2024–25

Report 819 | October 2025

About this report

This report summarises findings from our financial reporting and audit surveillances and other complementary work for FY 2024–25. It highlights areas where the quality of financial reporting and audits can be improved.

This report will be of interest to preparers, reviewers and users of financial information such as auditors, audit committees, company directors, investors, accounting firms, and professional accounting bodies.

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About ASIC regulatory documents

In administering legislation ASIC issues the following types of regulatory documents: consultation papers, regulatory guides, information sheets and reports.

Disclaimer

This report does not constitute legal advice. We encourage you to seek your own professional advice to find out how the Corporations Act and other applicable laws apply to you, as it is your responsibility to determine your obligations.

Examples in this report are purely for illustration; they are not exhaustive and are not intended to impose or imply particular rules or requirements.

Executive summary

ASIC is committed to strong oversight of auditors and enhancing the integrity and quality of financial reporting and audit in Australia through proactive surveillance and enforcement action where required.

This report sets out the results from ASIC's program of work on financial reporting and audit from 1 July 2024 to 30 June 2025 (the surveillance period), including:

- findings from our financial reporting and audit surveillance of companies
- enforcement and compliance actions against registered company auditors and outcomes relating to company financial reports
- observations on voluntary sustainability reporting to assist preparers of mandatory sustainability reports, and
- observations on auditor reporting to ASIC.

What we did

We conducted financial reporting and audit surveillances of companies, registrable superannuation entities (RSEs) and their registered auditors to ensure their financial reports and audits were:

- conducted in accordance with Australian Accounting Standards, Australian Auditing Standards and Professional and Ethical Standards, and
- complied with the Corporations Act.

During the surveillance period, we reviewed 254 listed and large proprietary company financial reports and 60 RSE financial reports for years ended 30 June 2024 (companies and RSEs) and 31 December 2024 (companies only). We conducted surveillances on the financial reports of 22 companies and made inquiries with 17 superannuation trustees about their financial reporting.

We also reviewed 15 audit files at nine audit firms for 10 companies and five RSEs. The companies included eight ASX-listed entities and two large proprietary companies.

Findings related to our financial reporting and audit surveillances of RSEs were reported separately and are not included in this report: see Report 816 *Accounting for your super: ASIC's review into the financial reporting and audit of super funds* (REP 816).

Note: For more information on our surveillance approach, see: Appendix 1: Overview of surveillance approach.

Key outcomes

As a result of our financial reporting surveillances:

- 12 entities made or agreed to make changes to their operating and financial review (OFR) to improve their disclosures of material business risks in their next financial report:
  - Adelong Gold Limited
  - African Gold Ltd.

  - Embark Early Education Limited
  - GoldArc Resources Limited (formerly Asra Minerals Limited)
  - Harris Technology Group Limited
  - Imdex Ltd
  - Micro-X Limited
  - OpenLearning Limited
  - Osteopore Limited
  - Servcorp Limited
  - Touch Ventures Limited
  - Vinyl Group Ltd
- two entities agreed to make changes to their financial report disclosures:
  - John L. Pierce Pty Ltd
  - Syesun Pty Ltd
- two entities made or agreed to make changes to their non-IFRS profit measures to clearly distinguish them from corresponding IFRS profit information and provide reconciliations between non-IFRS and IFRS profit measures:
  - Embark Early Education Limited
  - Superloop Limited
- one entity, Vulcan Energy Resources Limited, changed its Consolidated Statement of Profit or Loss and Other Comprehensive Income to disclose employee benefits expenses net of capitalised expenses
- one entity, Bell Group Holdings Pty Limited, made a restatement to consolidate a controlled subsidiary which was previously incorrectly accounted for as an associate: see Media Release (25-210MR) *Financial services company Bell Group Holdings restates 2023 accounts following concerns raised by ASIC* (23 September 2025), and
- one entity, Energy World Corporation Limited, impaired its assets by a total of US$793.8 million: see the editor's note in Media Release (24-110MR) *ASIC restricts Energy World Corporation Ltd from issuing a reduced-content prospectus* (23 May 2024).

We issued nine comment forms to audit firms setting out our concerns. These comment forms were also shared with the company directors, together with the firms' responses (including, where relevant, the remediation action they intend to take in response to our concerns). Our key findings include:

- revenue and receivables – the auditors did not obtain sufficient appropriate audit evidence to support revenue recognition in accordance with the requirements of AASB 15 *Revenue from Contracts with Customers* (AASB 15)
- impairment of non-financial assets and asset values – the auditors did not test the reasonableness of inputs and assumptions in valuations and that the carrying value of assets reflected their fair value
- investments and financial instruments – the auditors did not obtain sufficient appropriate audit evidence over the ownership and valuation of investments and whether an investment did result in control of a subsidiary and should have been consolidated
- inventory and cost of goods sold – the auditor did not obtain sufficient evidence from audit procedures covering the period between the stocktake and balance date including substantive analytical procedures and inventory cut off
- employee benefits – the auditor did not obtain sufficient appropriate audit evidence over the accuracy of employee benefit expenses and the valuation of employee benefits provision

- loans and borrowings – the auditor did not test the accuracy and completeness of bank loans, and covenant breach disclosure. The going concern assessment did not include consideration of the entity's ability to repay a significant loan when due
- systems of quality management – the auditor did not comply with independence and rotation obligations and did not have adequate processes in place in relation to supervision and review and archiving of the audit file within the mandated period, and
- other findings – the auditors did not adequately document the nature and extent of procedures performed and significant professional judgements made during the audit and in forming conclusions.

Enforcement and compliance actions

ASIC took the following enforcement actions against registered company auditors for failing to comply with auditing standards:

- We made an application to the Companies Auditors Disciplinary Board (CADB) proceedings resulting in suspension of Joseph Santangelo of Nexia Sydney Audit Pty Ltd until June 2026: see Media Release (24-277MR) *Lead auditor of Greensill Group suspended by Companies Auditors Disciplinary Board until June 2026* (13 December 2024).
- We imposed conditions on the registration of Allan Facey of MNSA Pty Ltd, requiring him to complete additional continuing professional education and engage an independent auditor to review and report to ASIC on:
  - a root cause analysis and remedial actions implemented as a result of ASIC's review, and
  - three financial report audits conducted by the auditor of public interest entities for the financial year ended 30 June 2025.

  See Media Release (25-091MR) *ASIC imposes conditions on the registration of Sydney company auditor* (2 June 2025).
- We made two separate applications to the CADB relating to the FY 18 financial statements of iSignthis Ltd resulting in:
  - cancellation of Grant Thornton former partner Bradley Taylor's registration, the highest CADB outcome: see Media Release (25-109MR) *Registration of the auditor of the FY 2018 financial statements of iSignthis Ltd cancelled by Companies Auditors Disciplinary Board* (25 June 2025), and
  - admonishment of review auditor, Grant Thornton partner Simon Trivett. This is the first time the CADB has determined the role of review auditors in the conduct of an audit: see Media Release (25-122MR) *Review auditor of the FY 18 financial statements of iSignthis Ltd admonished by the Companies Auditors Disciplinary Board* (30 June 2025).
- We accepted a court enforceable undertaking from David Makowa of DM Advisory Services to surrender his registration as a registered company auditor and never to re-apply: see Media Release (25-112MR) *Brite Advisors auditor admits failures and surrenders registration* (27 June 2025).

Our ongoing enforcement actions relating to misconduct are also included in ASIC's enforcement outcome reports on our website.

We also had compliance outcomes with the lodgement of financial reports by previously grandfathered companies following ASIC intervention. During the surveillance period, we wrote to 58 previously grandfathered companies who we assessed, based on data, were large proprietary companies and should have lodged audited financial reports with ASIC. We found that 32 of these companies failed to

lodge their financial reports with ASIC. As a result of our interventions, 30 companies have now lodged their financial reports: see Appendix 2: Financial report lodgement – compliance outcomes and Media Release (25-169MR) *ASIC increases its focus on lodgement of financial reports after finding poor compliance by grandfathered companies* (20 August 2025).

ASIC'S WIDER WORK – FINANCIAL REPORTING AND AUDIT

The work described in this report complements our wider financial reporting and audit work on:

- the audited financial reports of RSEs, noting the requirement to lodge these with ASIC is new. RSEs are highly significant economic actors given the size of Australian superannuation assets, and they play an important role in ensuring the financial security of Australians in retirement: see REP 816.
- the requirements that sit at the foundation of trust put in auditors, namely their compliance with independence and conflicts of interest obligations: see Report 817 *Building trust: Auditors' compliance with independence and conflict of interest obligations* (REP 817).

Looking across our findings from these three programs of work, we make the following observations:

In relation to **financial reporting**, companies and other entities should ensure they have the right expertise and resources devoted to the preparation of high-quality and timely financial information. We particularly note the significance of asset valuations. Not only are these a subject of possible estimation uncertainty and judgement, the capacity of investors and members to compare entities' financial position and performance relies on how assets have been categorised and valued. We are also concerned to ensure **auditors** of RSEs and companies are vigorously testing information on investments including asset valuations, especially when those assets are impaired or valuations are under pressure.

Separately, we ask preparers to pay attention to other areas where there is estimation uncertainty and judgement, such as revenue recognition and provisions and topics which may be qualitatively material for investors and members. We also encourage preparers of financial reports to be open in disclosing approaches and key assumptions they have taken in preparing their financial reports, especially in newer areas, and being candid on material business risks such as in the OFR.

We are disappointed by our findings in relation to the **independence of auditors**. Auditor independence underpins stakeholder trust and confidence in the audit process and the reliability of the financial information being audited. A stronger observance of independence requirements by auditors will help enhance trust; it will provide a foundation for more rigorous challenge in the audit process, leading to better financial information.

Also concerning is that across our program of work we identified instances of auditors not proactively raising and reporting significant contraventions to ASIC, including potential non-compliance with their independence requirements. We remind auditors of their obligations to report contraventions to ASIC. We recently updated Regulatory Guide 34 *Auditor obligations: Reporting to ASIC* (RG 34) to help auditors better understand their obligations.

Looking forward

All stakeholders in the financial reporting chain are expected to carefully consider the findings in this report. In particular:

Audit committees, directors and preparers of financial reports

Audit committees, directors and preparers of financial reports have a critical and ongoing role in supporting quality financial reporting and audits and it is in their interest to support the audit process. Key foundational building blocks to support high-quality outcomes include:

- **high-quality and timely financial information** supported by robust position papers with appropriate analysis and conclusions referencing relevant accounting standards
- **adequate resources, skills and expertise** being applied in the reporting process. Comprehensive contemporaneous position papers should support the conclusions reached, particularly in areas that have significant estimation uncertainty and judgement (e.g. asset values, revenue recognition and provisions)
- **clear, effective communication with the auditor** addressing risks affecting the information in the financial report, and
- **robust auditor selection** with accountable procedures, appropriate audit fees and clear communication channels between the auditor and the audit committee.

Note: For more information, see Information Sheet 196 *Audit quality – The role of directors and audit committees* (INFO 196) and Information Sheet 223 *Audit quality – The role of others* (INFO 223).

Audit firms and auditors

All audit firms (regardless of size) and auditors should review the findings in this report carefully and focus on these areas in future audits. To support the delivery of quality audit services, we remind audit firms and auditors they should:

- **promote a strong culture** focused on ethics, independence and audit quality, with accountability at all levels of partners and staff
- **prepare transparency reports** that are clear and concise and inform the market about the firm's audit quality
- **effectively communicate** to audited entities that they should present, analyse and document their conclusions supported by relevant specific accounting standards, particularly in areas of judgement and estimation uncertainty
- **adequately resource audits** with the right skills and expertise, including robust supervision and review, to identify and address contentious issues early and minimise deadline pressures
- **conduct effective quality reviews** of audits using appropriately skilled engagement quality reviewers
- **remediate findings** to ensure sufficient audit evidence is obtained in future audits
- **identify and address the root causes** of audit findings
- **develop, implement, continually monitor and revise** action plans to ensure they are effective and sustainable, and
- establish processes to **manage auditor reporting** obligations and notify ASIC of actual or suspected contraventions in a timely manner.

Note: Information Sheet 222 *Improving and maintaining audit quality* (INFO 222) outlines considerations and examples of initiatives for audit firms to improve and maintain audit quality.

Ongoing surveillance

We will continue to engage with industry to improve financial reporting and audit practices in the 2025–26 financial year. Our 2025–26 surveillance program will involve:

Financial reporting surveillance program

- We will continue our financial reporting surveillance program and will review the financial reports of listed, public and large proprietary companies. We will also review the 30 June 2025 financial reports of all RSEs not covered in our first RSE surveillance program.
- We will focus on revenue recognition, asset valuation and estimation of provisions as stated in Media Release (25-079MR) *ASIC announces financial reporting and audit focus areas for FY 2025-26* (19 May 2025).

Audit surveillance program

- We will continue our audit surveillance program and will increase the number of audit files reviewed to 25 (compared with 15 in 2024–25). We will review the audit files of five RSEs and 20 companies (including listed, public and large proprietary companies).
- We will continue to select audit files where we have identified concerns from our financial reporting surveillances (as we have done for the past two years). From 2025–26, we will also select some audit files on a random basis and some where we have identified concerns about auditors' compliance with their independence and conflicts of interest obligations.
- We will monitor how auditors and audit firms address findings from our 2025–26 audit surveillance program.

Ongoing non-lodgement compliance program

- We will conduct a surveillance project on non-lodgement of financial reports by large proprietary companies. This follows our work on non-lodgement of financial reports by previously grandfathered companies which suggested there could be widespread non-compliance with the lodgement requirements: see 25-169MR.

Sustainability reporting surveillance program

- We will review sustainability reports for the year ended 31 December 2025 and will share our observations with the market to assist preparers and lift practices. We will take a pragmatic and proportionate approach to supervision and enforcement as the sustainability requirements are being phased in.

Enforcement

- We will continue to use our full range of regulatory tools to enhance audit quality and take enforcement or compliance action where appropriate, particularly where we find a significant breach of the Corporations Act.
- Where necessary, we will consider issuing an audit deficiency report under section 50C(1*)* of the *Australian Securities and Investments Commission Act 2001*: 'if ASIC is satisfied that the Australian auditor has not taken appropriate remedial action to remedy the identified audit deficiency'.

SECTION 1

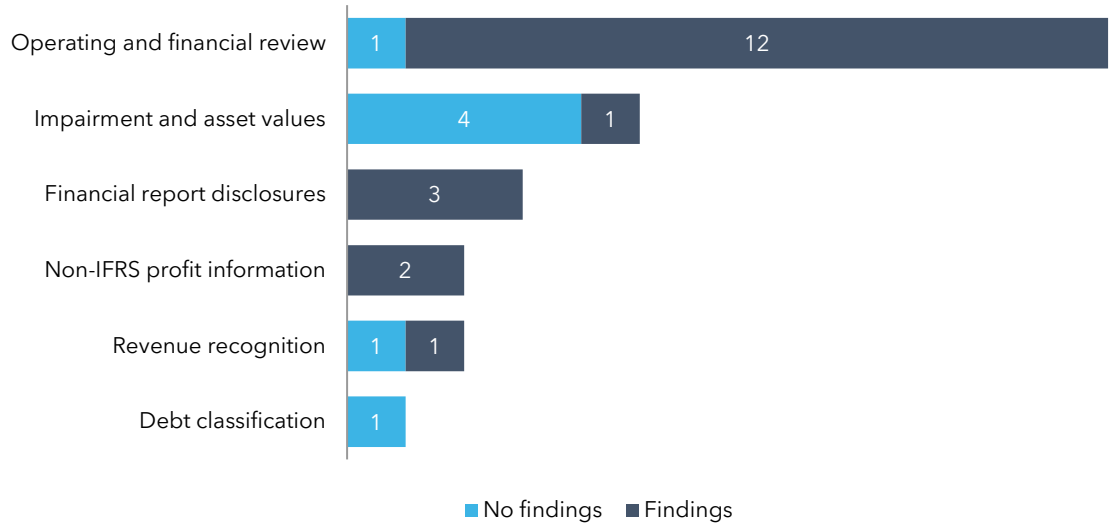
Financial reporting surveillance

In 2024–25, we reviewed 254 company financial reports and conducted surveillances on the financial reports of 22 entities. Most surveillances related to disclosure in the OFR, impairment testing, and non-IFRS profit information.

As a result of our inquiries, 18 entities have made or agreed to make changes relating to 19 areas of concern in their financial reports.

Financial reporting surveillances by area of concern

Figure 1: Concerns raised in financial reporting surveillances



Note: See Table 10 for the data shown in this figure (accessible version).

Operating and financial review

We focused on the OFR in our surveillance program because the information is important to retail investors who rely on publicly available information and don't have the resources available to their institutional counterparts.

Section 229A of the Corporations Act requires an OFR to be prepared by all listed entities as part of the directors' report.

The purpose of the OFR is to provide information that shareholders would reasonably require to make an informed assessment of the entity's business strategies, prospects and performance.

Our reviews of financial reports continue to identify shortcomings in the preparation of the OFR.

The main deficiency that we continue to identify is a complete absence of disclosure about material business risks. We contacted 13 listed entities to communicate our concerns about the absence of disclosures in relation to material business risks. Following our surveillances, 12 of these entities, four of which are in the materials industry, made additional disclosures or gave an undertaking to do so in their next financial report. These entities are named above: see Key outcomes.

What companies should do – OFR

To provide balance, it's important to discuss material business risks that may affect the achievement of outcomes described in the financial report.

OFR disclosures should be appropriate to the entity's individual circumstances and the business environment and not be generic.

Monitoring and reporting risk is an important duty of directors. A well-developed and structured report on material business risks and their relationship to achieving business plans:

- can be one of the most informative pieces of information for retail investors, and
- is an excellent way for smaller companies to bring structure and accountability to risk management practices.

Well-developed risk management and reporting processes will also help with the implementation of sustainability reporting standards.

For more guidance, see Regulatory Guide 247 *Effective disclosure in an operating and financial review* (RG 247).

Impairment and asset values

We contacted five listed entities about their compliance with AASB 136 *Impairment of Assets* (AASB 136) in testing non-current assets for impairment including:

- assessment of indicators of impairment
- reasonableness and supportability of key valuation assumptions, and
- allocation of goodwill to cash generating units (CGUs) and associated disclosures.

We requested the impairment documents and valuation models of these entities to clarify the financial report disclosures and whether any impairment of assets was required. As a result of our inquiries, one company impaired their assets by US$793.81 million.

What companies should do – Impairment and asset values

To ensure assets are appropriately valued in accordance with relevant accounting standards, preparers of financial reports should:

- assess all indicators of impairment: see AASB 136, paragraph 12
- allocate goodwill to relevant CGUs: see AASB 136, paragraph 80
- ensure asset valuations are appropriate and based on reasonable and supportable assumptions: see AASB 136, paragraph 33
- make impairment adjustments on a timely and appropriate basis: see AASB 136, paragraph 60, and
- where the recoverable amount does not significantly exceed the carrying amount of an asset or CGU, consider providing more detailed disclosures beyond minimum requirements: see AASB 136, paragraph 126.

CASE STUDY

- In 2024, we reviewed the financial report of Energy World Corporation (EWC) and were satisfied that there had been a breach of accounting standards. There was insufficient evidence that key assumptions used in the discounted cash flow model prepared to measure the recoverable amount of its assets were reasonable and supportable. This was considered to be sufficient grounds to restrict EWC from issuing a reduced-content prospectus for 12 months (24-110MR). EWC had been issued qualified audit reports since 31 December 2018 because of this issue.
- During the restriction period, EWC impaired its liquified natural gas projects under construction and its oil and gas exploration and evaluation assets by a total of US$793.81 million by revising assumptions in its discounted cash flow models.

Financial report disclosures

We contacted three large proprietary companies, one in transportation, one in financial services and one in the food, beverage and tobacco industry, about financial report disclosure concerns.

Two entities did not consolidate subsidiaries, while the third entity did not:

- include a statement of cash flows, and
- disaggregate balance sheet totals in the notes to the financial statements.

All the entities have agreed to provide updated disclosures in the next financial report to address our concerns.

What companies should do — Financial report disclosures

- Consolidate all subsidiaries where there is evidence of control: see AASB 10 *Consolidated Financial Statements* (AASB 10), paragraph 2(a).
- Prepare a complete set of financial statements, including a statement of cash flows: see AASB 101 *Presentation of Financial Statements* (AASB 101), paragraph 10(d).
- Provide disaggregated information when relevant to providing an understanding of the entity's financial position: see AASB 101, paragraph 55.

Non-IFRS profit information

We contacted two listed entities about their presentation of non-IFRS profit information because they did not provide a reconciliation of non-IFRS profit to statutory profit.

Following our surveillances, one entity in the consumer services industry agreed to include a reconciliation of the non-IFRS profit measure in its next financial report and the other listed entity, in the telecommunications industry, provided a reconciliation in its interim financial report.

What companies should do — Non-IFRS profit information

- Non-IFRS information should be appropriately labelled with a clear explanation of how it is calculated and why it is useful.
- A reconciliation between non-IFRS information and IFRS information should be provided, separately itemising and explaining each significant adjustment.
- Equal prominence should be given to non-IFRS information and IFRS information and a consistent approach should be adopted from period to period.

For more guidance on the presentation of non-IFRS information, see Regulatory Guide 230 *Disclosing non-IFRS financial information* (RG 230).

Revenue recognition

We contacted two listed entities about their recognition of revenue.

One entity had included capitalised wages as a separate credit on the Consolidated Statement of Profit or Loss and Other Comprehensive Income. Although it did not result in an increase in profit, it could give the appearance that it was a source of other income. The entity, in the materials industry, discontinued this practice and adjusted its next financial report.

A second entity was contacted because we had concerns that it was treating sales of third-party inventory as sales on its own behalf as principal rather than as an agent. Sales made on an agency basis should only recognise commissions as revenue. The entity confirmed that it did not sell third-party inventory and therefore no adjustment was required.

What companies should do — Revenue recognition

Where expenses are capitalised as part of internally constructed assets they should be netted off against the relevant expense. Capitalised costs do not meet the definition of revenue: see AASB 15, paragraph A[5]

Revenue should only be recognised for the commission earned on sales as an agent: see AASB 15, paragraph B36.

SECTION 2

Sustainability reporting

The first group of entities that are required to prepare a sustainability report in accordance with the Corporations Act and AASB S2 *Climate-related Disclosures* (AASB S2) will report for the financial year ending 31 December 2025.

AASB S2 requires an entity to disclose information about its climate-related risks and opportunities that could reasonably be expected to affect the entity's cash flows, its access to finance or cost of capital over the short, medium or long term. These disclosures are useful to users of financial reports in making investment decisions.

In anticipation of mandatory reporting, we have conducted reviews of:

- sustainability-related information in financial reports, and
- a sample of voluntary climate-related disclosures (in sustainability reports and other public disclosures).

We share our observations to assist entities as they prepare for mandatory sustainability reporting.

We will be pragmatic and proportionate in our approach as the mandatory sustainability reporting requirements are being phased in and as industry adjusts to the new requirements.

Guidance to help understand which entities will be required to prepare a sustainability report, and when they are to be lodged, can be found in Regulatory Guide 280 *Sustainability reporting* (RG 280). RG 280 also outlines our approach to administering the sustainability reporting requirements, including relief applications. To learn more about the mandatory sustainability reporting regime, visit our sustainability reporting webpage.

The findings from our reviews will inform ongoing work to support our administration of the mandatory climate-related financial disclosure regime.

Financial reporting reviews

Of the 254 financial reports we reviewed as part of our financial reporting surveillance program, 105 included sustainability-related information. Of these, five entities have voluntarily reported against AASB S2 ahead of mandatory reporting. Forty-seven entities have reported against the Taskforce on Climate-Related Financial Disclosures (TCFD) framework.

For entities that are currently reporting voluntarily who will need to report against AASB S2 in the future, we encourage them to conduct a gap analysis between any voluntary framework they are using and the mandatory requirements, and put in place the necessary systems, processes and governance arrangements to comply with AASB S2.

Table 1: Sustainability reporting frameworks used

Sustainability reporting framework	Times used
Taskforce on Climate-Related Financial Disclosures (TCFD)	47
Global Reporting Initiatives	17
UN Sustainable Development Goals	10

Sustainability reporting framework	Times used
Sustainability Accounting Standards Board	6
Australian Sustainability Reporting Standards	5
Taskforce on Nature-Related Financial Disclosures	4
National Greenhouse and Energy Reporting Act 2007	3
Other	5

Note: Some entities use more than one sustainability reporting framework.

Voluntary climate-related disclosure reviews

Separately, we have performed detailed reviews of the publicly available, voluntary, climate-related disclosures of 41 entities. This included voluntary disclosures by both listed and unlisted companies in voluntary sustainability reports and other public disclosures. We consider the shift to mandatory reporting under the Corporations Act and AASB S2 will address many of the challenges of existing voluntary reporting practices.

Listed entity disclosures compared to unlisted entity disclosures

Most listed entities reviewed disclosed more information voluntarily (likely in response to shareholder demand), whereas some large unlisted Group 1 entities made minimal or no disclosures.

Scope 3 disclosures

As permitted by the standards, of the large companies we reviewed, most disclosed Scope 3 emissions by using a combination of direct emissions data received from suppliers and customers and secondary data such as industry averages.

Disclosure detail and quality

Our review of the voluntary disclosures, which we note was generally prepared under the recommendations of the TCFD (not AASB S2) found that:

- disclosures were often repetitive, with key information about the management of climate-related risks and opportunities sometimes obscured, making it difficult for users to identify the key information
- scenario analysis disclosures lacked detail about the underlying assumptions and dependencies relied on in the disclosures
- where reporting entities had a transition plan, the related disclosures could have been more clearly linked to the entity's targets, actions and strategies
- disclosures that incorporated forward-looking statements were predominantly qualitative in nature and lacked detail about how they translate into financial impacts for entities, their operations, prospects or assets.

SECTION 3

Audit surveillance

In the 2024–25 period, we inspected 10 audit files of companies including eight ASX-listed entities and two large property companies across the following audit firms:

- Deloitte
- Ernst & Young
- Grant Thornton
- HLB Mann Judd
- KPMG
- KS Black & Co
- PricewaterhouseCoopers
- RSM Australia

We selected audit files for surveillances where we identified concerns from our financial report reviews and financial report surveillances. We focused on the key audit areas of revenue and receivables and impairment and asset values as these areas are subject to a high degree of estimation uncertainty and significant judgement. These are also the key areas where we identified the majority of audit deficiencies in prior year surveillances. On average we review two to three key audit areas on each audit surveillance.

We issued nine comment forms to audit firms setting out our concerns. The audit firms provided their written responses, including identifying where they will take remedial actions to address our concerns. One firm responded in real time by including additional audit procedures in its current year audit to address our concerns.

We separately communicated the outcomes of our audit surveillances to the directors of each company where we had concerns, including sharing the comment forms we issued and the firm's responses. We also notified the directors of companies where we closed an audit surveillance without any findings. The types of matters we report on and how we communicate is set out in Regulatory Guide 260 *Communicating findings from audit files to directors, audit committees or senior managers* (RG 260).

We reissued RG 260 on 15 October 2025 to include communications to superannuation trustees in relation to audits of RSEs: see *ASIC updates guidance on communicating audit findings to directors, audit committees and senior managers* (15 October 2025).

The detailed observations set out in the comment forms facilitates discussions between auditors and those charged with governance about their respective roles in audits, strengthening efforts to uplift audit quality.

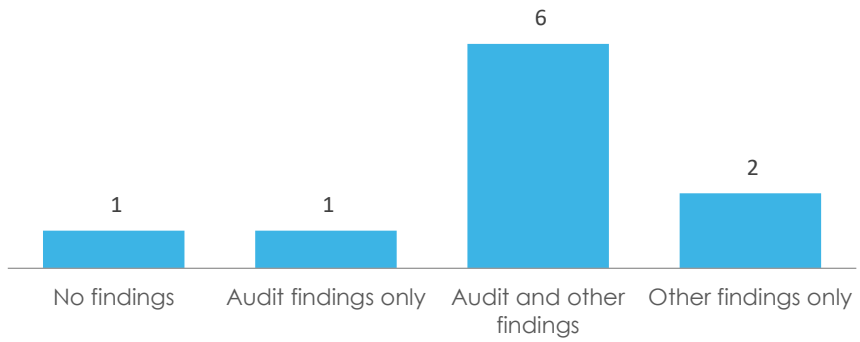
Categories of findings

We have two categories of findings, **audit findings** and **other findings**. An audit finding is where, in our view, auditors did not obtain reasonable assurance that the financial report as a whole was free of material misstatement. Audit findings do not necessarily mean that the financial reports audited were in fact materially misstated. Rather, the auditor did not comply with the requirements of some of the auditing standards and therefore did not have a sufficient basis to support their opinion on the financial report.

Other findings are where we concluded there were no concerns in relation to risks of material misstatements, but the concerns warranted reporting to the auditor and company directors. These findings may include concerns relating to systems of quality management, independence and documentation. Other findings could lead to an audit finding in the future or highlight situations where the firm or company needs to improve its current processes and practices.

Figure 2 below shows the findings from our audit surveillances in the surveillance period. One of the audit surveillances had no findings, one audit surveillance had one audit finding, six audit surveillances had both audit findings and other findings and two surveillances had only other findings.

Figure 2: Audit surveillance findings



Note: See Table 11 for the data shown in this figure (accessible version).

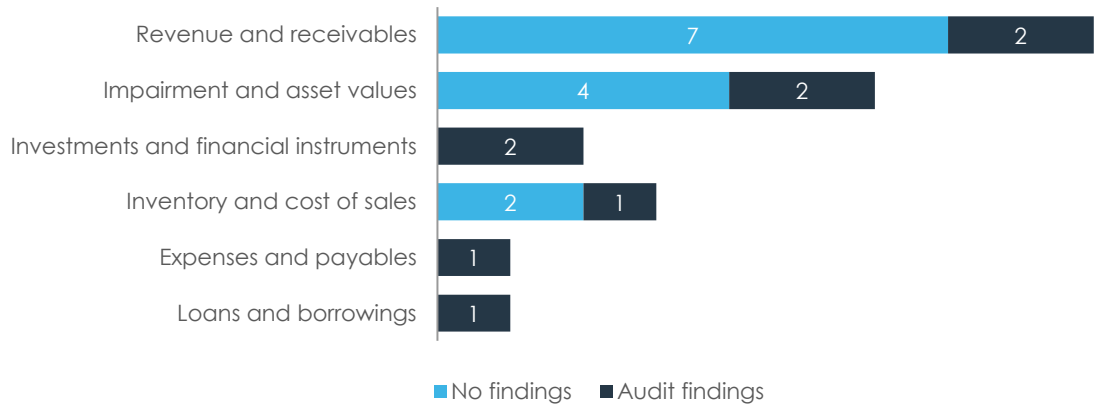
Audit findings by key audit area

Most of the audit findings from our audit surveillances this period related to:

- revenue and receivables
- impairment and asset values, and
- investments and financial instruments.

Figure 3 shows a breakdown of all audit findings.

Figure 3: Audit findings by key audit area



Note: See Table 12 for the data shown in this figure (accessible version).

Detailed audit findings

We have included below a summary of each individual audit finding from our surveillances by each of the key audit areas.

Revenue and receivables

We identified two audit findings in relation to revenue and receivables. Deficiencies identified included:

- not obtaining sufficient appropriate evidence that performance obligations were satisfied in recognising revenue including exercising an appropriate level of professional scepticism in assessing and testing inputs in estimating revenue recognised

- not including a key segment of the population in the sample of items selected for testing, and
- not adequately testing key inputs and assumptions used in the percentage of completion method for recognition of revenue and to support contract assets.

Table 2: Audit finding summaries – Revenue and receivables

Testing procedures and evidence
› *Revenue – rental income* – The auditor did not obtain sufficient appropriate audit evidence to support the revenue recognition of rental income. The auditor did not select a representative sample of rental income and adequately test that rental income was correct.
› *Revenue, receivables and contract assets* – The auditor did not obtain sufficient appropriate audit evidence to support the revenue recognition of one key revenue stream and to support the recognition of a material asset balance. The auditor did not exercise professional scepticism to adequately test the underlying data used in the calculation of revenue was accurate.

What auditors should do

When auditing revenue and receivables, auditors should:

- design and perform adequate procedures to verify performance obligations are satisfied in recognising revenue at a point in time or over time and ensure there is sufficient appropriate evidence to support this: see AASB 15
- apply an appropriate level of professional scepticism in assessing and testing the accuracy of inputs in estimating revenue recognised: see ASA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Australian Auditing Standards* (ASA 200) and AASB 15
- apply a sampling method that ensures each sampling unit in the population has an equal chance of selection and is therefore representative of the entire population being tested: see ASA 530 *Audit Sampling* (ASA 530), and
- evaluate results from testing procedures and assess if the planned audit response remains adequate: see ASA 330 *The Auditor's Responses to Assessed Risks* (ASA 330).

Consideration should be given to the requirements in AASB 15 when performing audit procedures over revenue and receivables. AASB 15 outlines a framework with five steps in recognising revenue from contracts with customers including identifying the contract, identifying performance obligations, determining the transaction price, allocating the transaction price to the performance obligations and recognising revenue on satisfaction of performance obligations.

Impairment of non-financial assets and asset values

We identified two audit findings relating to impairment of non-financial assets and asset values including where auditors did not test:

- the reasonableness of a key assumption in a value-in-use impairment model
- that in allocating an impairment loss the carrying value of a category of assets was not less than the fair value to dispose of those assets, and
- the calculation of capitalisation rate percentages applied to in-house software costs capitalised including supporting inputs and assumptions.

Table 3: Audit finding summaries — Impairment of non-financial assets and asset values

Reasonableness of inputs and assumptions
› *Intangibles* — In one CGU, the auditor did not obtain sufficient appropriate audit evidence to support the reasonableness of the revenue growth assumption used in the discounted cash flow model to calculate the recoverable value of goodwill. In another CGU, through selecting a non-representative sample, the auditor did not obtain sufficient appropriate evidence to support that the carrying value of a category of assets reflects the fair value less cost of disposal of those assets.
› *Intangible assets* — The auditor did not obtain sufficient appropriate audit evidence to support the reasonableness of in-house software costs capitalised as intangible assets.

What auditors should do

When auditing impairment of non-financial assets and asset values, auditors should:

- assess whether key assumptions such as revenue growth rates are reasonable and supportable: see AASB 136, paragraphs 33–53A
- verify the carrying value of assets is not reduced below its fair value less cost of disposal in allocating impairment losses: see AASB 136, paragraph 105
- test the calculations of capitalisation rate percentages used to apportion software costs to be capitalised including supporting inputs and assumptions and ensure they are reasonable, and
- sufficiently test the reliability of reports generated from payroll systems to substantiate costs capitalised for software developers accurately reflect costs that are eligible to be capitalised: see AASB 138 *Intangible Assets* (AASB 138), paragraphs 62 and 66(b).

Consideration should be given to the following requirements when performing audit procedures over impairment of non-financial assets and asset values:

- AASB 136 relating to the basis for estimating future cash flows and the use of reasonable and supportable assumptions, and
- AASB 138 in recognising an intangible asset arising from development and the reliability of an entity's costing system in estimating costs of internally generated intangible assets.

Investments and financial instruments

We identified two audit findings regarding investments and financial instruments. Deficiencies identified included:

- assessing whether an investment in an associate was correctly accounted for under the equity method or whether it should have been consolidated as a controlled entity, and
- designing and executing audit procedures to test that investment properties had been properly accounted for including verifying the ownership and assessing the values of investment properties.

Table 4: Audit finding summaries — Investments and financial instruments

Appropriateness of accounting treatment and valuations
› *Investments in associates* — The auditor did not obtain sufficient appropriate evidence to confirm that an investment in a listed company was not controlled and therefore did not need to be consolidated.
› *Investment properties* — The auditor did not obtain sufficient appropriate audit evidence over the ownership and valuation of investment properties. The auditor did not adequately assess the accounting treatment, test property titles, lease termination and changes, land sold, indicators of impairment, reliability of historical acquisition price, reasonableness of comparable sales and the appropriateness of management expert's methodologies, inputs and key assumptions.

What auditors should do

When auditing investments and financial instruments, auditors should:

- assess whether the nature of the shareholding interests in investments indicates control and, if so, consolidate rather than equity account for the interest: see AASB 10 and AASB 128 *Investments in Associates and Joint Ventures* (AASB 128), and
- ensure the investment properties are appropriately accounted for in accordance with AASB 140 *Investment Property* (AASB 140).

Consideration should be given to the following requirements in performing audit procedures over investments and financial instruments:

- AASB 10 which requires investors to assess the nature of its involvement with an entity (the investee) and assess whether it is a parent entity by assessing whether it controls the investee
- AASB 128 which sets out the requirements for when it would be appropriate to equity account for an investment in associate or joint venture, and
- AASB 140 which sets out the classification, recognition and measurement criteria for investment properties.

Inventory and cost of goods sold

We identified one audit finding in relation to inventory and costs of goods sold (COGS) where the auditor did not adequately test inventories on hand were correctly valued and not overstated at balance date.

Table 5: Audit finding summary — Inventory and cost of goods sold

Testing key assertions
Inventory and cost of goods sold (COGS) — The auditor did not adequately design and execute their COGS substantive analytical procedure (SAP) and therefore did not obtain sufficient evidence in relation to: › the accuracy of COGS, and › reliability of the inventory movement schedule used in their roll forward procedure.

What auditors should do — Audit of inventories

When auditing costs of goods sold and inventories, auditors should:

- obtain sufficient evidence from audit procedures to cover the period between the annual stocktake and the balance date, where this does not fall on the same date. This includes:
  - testing the reliability of movement schedules that are relied on as evidence as part of key audit procedures: see ASA 500 *Audit Evidence* (ASA 500), paragraph 7, and
  - ensuring the use and design of SAPs is both suitable and sufficiently precise as a key procedure used to obtain evidence over the accuracy of COGS: see ASA 520 *Analytical Procedures* (ASA 520), paragraph 5(a) and (c)
- document their rationale to support conclusions on the acceptability of variances arising from SAPs: see ASA 230 *Audit Documentation* (ASA 230), paragraph 8(c), and
- execute inventory cut-off procedures as planned: see ASA 330, paragraph 18.

Consideration should be given to the requirements of ASA 230, ASA 330, ASA 500 and ASA 520 in performing audit testing procedures.

Employee benefits

We identified one audit finding relating to employee benefits where the auditor did not obtain sufficient appropriate evidence and did not adequately test:

- a representative sample of employees to verify benefits paid, and
- inputs in estimating the provisions for employee entitlements.

Table 6: Audit finding summary — employee benefits

Risk assessment and testing of employee benefits
Employee benefit expense and employee benefit provisions — The auditor did not obtain sufficient appropriate audit evidence over the accuracy of employee benefit expenses and the valuation of employee benefits provisions. The auditor also did not perform adequate risk assessment procedures and did not demonstrate professional scepticism to support the assessment of inherent risk as normal.

What auditors should do

When auditing employee benefits, auditors should:

- test key inputs used to estimate provisions for employee entitlements including relevant forward-looking adjustments: see ASA 540 *Auditing Accounting Estimates and Related Disclosures* (ASA 540), paragraphs 23–24
- perform procedures to properly understand and assess the risks over the payroll transaction cycle: see ASA 315 *Identifying and Assessing the Risks of Material Misstatement* (ASA 315)
- apply an appropriate level of professional scepticism in assessing inherent risks and consider factors that may be susceptible to fraud and manipulation: see ASA 200 and ASA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of a Financial Report* (ASA 240), and
- select an appropriate sampling unit that is representative of the population: see ASA 530, paragraph 8.

Consideration should be given to the requirements of ASA 540 in testing how management makes accounting estimates, particularly in relation to significant assumptions when auditing key estimates such as provisions for employee entitlements. This should also be grounded by appropriate risk assessments including fraud considerations and appropriate levels of professional scepticism and adequate sampling procedures to obtain sufficient appropriate evidence.

Loans and borrowings

We identified one audit finding regarding loans and borrowings where the auditor did not:

- obtain sufficient appropriate evidence to support the loan balance including terms and conditions, and
- assess the ability of the company to repay the loan including the reasonableness of cash flow projections.

Table 7: Audit finding summary — Loans and borrowings

Testing risks in relation to key assertions
Financial liabilities and going concern — The auditor did not obtain sufficient appropriate audit evidence over the accuracy and completeness of bank loans, the covenant breach disclosure, and the going concern assessment in relation to the entity's plan and ability to repay a significant loan when due.

What auditors should do

When auditing loans and borrowings, auditors should:

- obtain sufficient appropriate evidence to support the terms and conditions of bank loans including details of covenants and obtain external confirmations where appropriate: see ASA 500 and ASA 505 *External Confirmations* (ASA 505), and
- adequately evaluate management's assessment of its ability to continue as a going concern: see ASA 570 *Going Concern* (ASA 570).

Consideration should be given to the following requirements when performing audit procedures on loans and borrowings:

- ASA 500 in relation to obtaining evidence that is both relevant and reliable to support audits of material account balances
- ASA 505 on the use of external confirmations, and
- ASA 570 on evidencing the appropriateness of management's use of the going concern assumption.

Other findings

Systems of quality management

For one file we reviewed, we identified a number of concerns about poor audit quality management including:

- independence and partner rotation with the continued involvement of the same partner playing a significant role in the audit for more than seven years: see sections 324DA–324DC of the

Corporations Act and APES 110 *Code of Ethics for Professional Accountants (including Independence Standards)* (APES 110), section 540

- potential conflicts with long association of senior audit personnel with the continued involvement of the audit manager playing a significant role in the audit for more than 10 years: see APES 110, section 540
- supervision and review including engagement quality control review and signoff on workpapers: see ASA 220 *Quality Management for an Audit of a Financial Report and Other Historical Financial Information* (ASA 220), paragraphs 29–34 and A81–A89, and
- archiving the audit file within the mandated period of 60 days after signing the audit report: see ASA 230, paragraphs 14–16 and A21–A24 and ASQM 1 *Quality Management for Firms that Perform Audits or Reviews of Financial Reports and Other Financial Information, or Other Assurance or Related Services Engagements* (ASQM 1), paragraphs 31(f) and A83.

What auditors should do

In complying with independence requirements, auditors should provide directors of companies, registered schemes and RSEs with a written declaration under section 307C of the Corporations Act that to the best of their knowledge and belief they have not contravened the independence requirements of the Corporations Act or the applicable code of professional conduct in carrying out an audit.

Before accepting audit engagements and in evaluating continuance on audit engagements, auditors should evaluate and ensure compliance with their independence requirements, including but not limited to:

- rotation requirements under the Corporations Act and ensure they do not play a significant role in the audit of a listed company, listed registered scheme or RSE for more than five out of seven successive years and for a maximum extended eligibility term of seven successive years where the auditor's term has been extended by special resolution of the directors.

  For an extension to be valid, the approval granted by directors must comply with specific conditions designed to protect auditor independence and safeguard the quality of the audit.
- requirements under section 540 of APES 110 on long association of personnel (including partner rotation) with an audit client and ensure they do not act in the role of the engagement partner, the individual responsible for the engagement quality review or any other key audit partner role for more than seven cumulative years, and
- general requirements for independence under Subdivision A of Division 3 of Part 2M.4 of the Corporations Act, which requires auditors to identify conflict of interest situations and take action to ensure they cease to exist.

In complying with quality management requirements, auditors should ensure they have adequate policies and processes in place to address engagement quality reviews in accordance with ASQM 2 *Engagement Quality Reviews* (ASQM 2) and to ensure the timely archiving of audit files in accordance with ASQM 1 and ASA 230.

We have recently completed a review into auditors' compliance with their independence and conflicts of interest obligations: see REP 817. All firms, regardless of size, and all auditors should consider the findings and call to action of that review.

Audit documentation

From our review of 10 audit files, we identified 12 other findings where our concerns related to the adequacy of audit documentation: see Table 8. Across these other findings, there was scope for the auditor to improve the quality of their audit documentation to more clearly capture the nature and extent of procedures performed and significant professional judgements made during the audit and in support of conclusions reached.

Table 8: Other finding summaries – Audit documentation

Audit documentation
Audit documentation – The auditor could enhance their documentation of the results of the auditor's understanding of revenue processes and consistently document details of key characteristics tested.
Audit plan – The auditor did not prepare a separate stand-alone audit plan.
Intangible assets – The auditor did not adequately document their assessment of the eligibility of costs capitalised against the criteria set out in AASB 138.
Intangible assets – The auditor did not sufficiently document the procedures undertaken to conclude that there is no active market for the intangible asset in Australia.
Inventory – The auditor did not sufficiently document their consideration of the impact of a new product launched close to the year-end on the valuation of existing products.
Inventories and cost of sales – The auditor did not document an understanding and assessment of all inventories and cost of sales, walkthroughs and impairment considerations for raw materials. The auditor did not adequately document the rationale for appropriateness of samples sizes for cut-off to test for completeness of inventories and revenue. The auditor did not assess whether to communicate to management and those charged with governance that the entity's system had a limitation with respect to reporting on aged inventory.
OFR – The auditor did not demonstrate an appropriate level of professional scepticism about the employee arrangements material business risk disclosed in the OFR.
Revenue – The auditor did not adequately document their understanding and testing of performance obligations for a key revenue stream. The auditor could enhance the documentation of their review of the adequacy of the work performed by component auditors.
Revenue – The auditor did not adequately document their key considerations when evaluating a sampling error from revenue testing.
Revenue and unearned income – The auditor did not include on the audit file a memo prepared in the prior year. The memo set out the auditor's assessment of sponsorship revenue under AASB 15, which remained unchanged and continued to apply to the current year audit. The audit file was incomplete without the memo.
Revenue, trade receivables and deferred revenue – The auditor did not adequately document their understanding and assessment of key revenue streams and that evidence was obtained to test that performance obligations were met for services and subscriptions revenue.
Trade receivables and ECL – The auditor did not adequately document their assessment of the key inputs and assumptions for the recoverability of aged receivables used to evaluate the adequacy of the expected credit loss (ECL) allowance.

What auditors should do — Audit documentation

When preparing audit documentation auditors should ensure they clearly record audit procedures performed, and audit evidence obtained including:

- the overall audit strategy and audit plan
- understanding and assessment of significant classes of transactions such as revenue, particularly where there are multiple revenue streams and performance obligations
- the nature and extent of key procedures performed in testing account balances including characteristics of specific items or matters tested such as evaluating when performance obligations are met in recognising revenue, and
- significant professional judgements made during the audit such as considerations in relation to assessing the fair value of intangible assets or the impact of new product launches on the valuation of existing products.

Fundamental auditing requirements

Across the majority of our findings, we observed auditors did not perform adequate procedures to respond to assessed risks and failed to obtain sufficient appropriate evidence to support key judgements and conclusions.

In addition to the requirements referenced above, we also remind auditors of the fundamental requirements in the Australian Auditing Standards to:

ASA 315 *Identifying and Assessing the Risks of Material Misstatement (*ASA 315*)*

- design and perform risk assessment procedures to obtain audit evidence that provides an appropriate basis for the identification and assessment of risks of material misstatement and the design of further audit procedures in accordance with ASA 330, paragraph 13
- identify risks of material misstatement at the financial report level or assertion level for classes of transactions, account balances and disclosures: see paragraph 28, and
- determine the relevant assertions and the related significant classes of transactions, account balances and disclosures: see paragraph 29.

ASA 330 *The Auditor's Responses to Assessed Risks* (ASA 330)

- design and perform audit procedures whose nature, timing, and extent are based on and are responsive to the assessed risks of material misstatement at the assertion level: see paragraph 6
- perform substantive procedures that specifically respond to assessed significant risks at the assertion level: see paragraph 21, and
- obtain more persuasive audit evidence the higher the auditor's assessment of risk: see paragraph 7(b).

ASA 500 *Audit Evidence* (ASA 500)

- consider the relevance and reliability of information to be used as audit evidence: see para. 7, and
- when using information produced by the entity, evaluate the accuracy and completeness of the information including whether it is sufficiently precise and detailed for the auditor's purpose: see paragraph 9.

ASA 230 *Audit Documentation* (ASA 230)

- prepare audit documentation that is sufficient to enable an experienced auditor to understand the nature and extent of the audit procedures performed, the results and evidence obtained and the significant matters arising during the audit, the conclusions reached and significant professional judgements made in reaching those conclusions: see paragraph 8, and
- record the identifying characteristics of the specific items or matters tested in preparing audit documentation: see paragraph 9(a).

The auditing standards referenced above provide the guiding principles requiring auditors to adequately respond to assessed risks, obtain the necessary audit evidence to support the auditor's opinion and report and prepare audit documentation that evidences the audit complies with Australian Auditing Standards. It is our expectation that all auditors comply with the auditing requirements and, in doing so, exercise professional judgement that is appropriate to the facts and circumstances of each audit in performing and delivering quality audits.

SECTION 4

Auditor reporting to ASIC

Auditors play a pivotal role in the financial reporting chain and are uniquely positioned to identify instances where there may have been a contravention of the Corporations Act. This is recognised by provisions of the Corporations Act which impose obligations on auditors to notify ASIC of actual and suspected contraventions by companies and/or auditors.

What is required

Auditor reporting obligations have been part of Australian company law for many years. Integral to auditor reporting obligations is the need for timely notification of contraventions and suspected contraventions.

RG 34 sets out ASIC's guidance on auditors general reporting obligations to notify ASIC of suspected contraventions under section 311 and section 601HG of the Corporations Act. It also provides guidance for auditor reporting obligations under section 990K of the Corporations Act on contraventions relating to AFS licensees and section 104 of the *National Consumer Credit Protection Act 2009* (National Credit Act) on contraventions relating to credit licensees.

We reissued RG 34 on 18 September 2025 to consolidate and simplify existing guidance on auditor breach notification and contravention reporting obligations to ASIC as well as reflect changes to the law: see *Regulatory guide reissued on auditor reporting obligations to ASIC* (18 September 2025). The reissued RG 34 replaces guidance issued in March 2020.

The updates include guidance on auditor obligations to report:

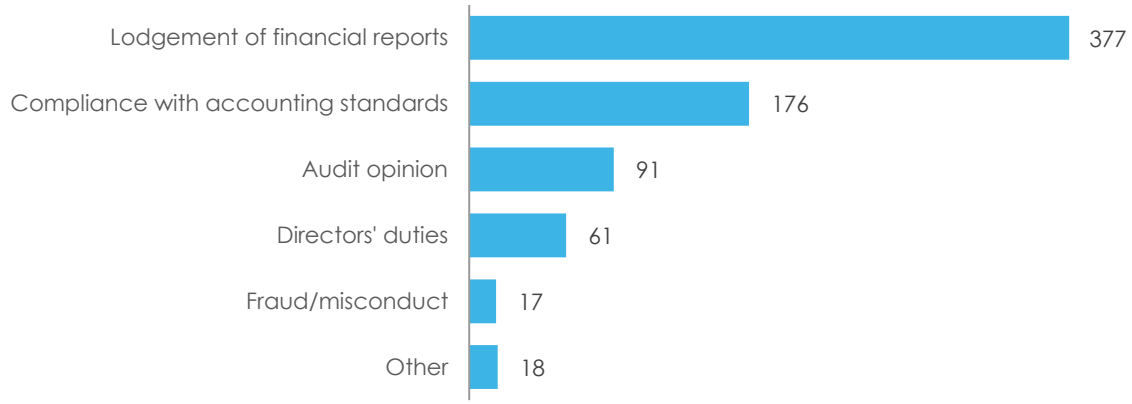
- in line with recent changes to the law, suspected contraventions in connection with sustainability reporting, and when conducting audits of registrable superannuation entities, corporate collective investment vehicles (CCIVs) and compliance plans of retail CCIVs
- attempts to unduly influence, interfere and mislead the auditor
- conflicts of interest and circumstances involving relevant relationships as part of an auditor's independence obligations, and
- the auditor's own suspected contraventions.

What we found

We received a total of 740 notifications and reports from auditors. Consistent with prior years, we continue to find that well over half of the notifications are for failure to lodge financial reports. For non-lodgements, we found that by entity type, the majority of these notifications related to proprietary companies followed by listed companies.

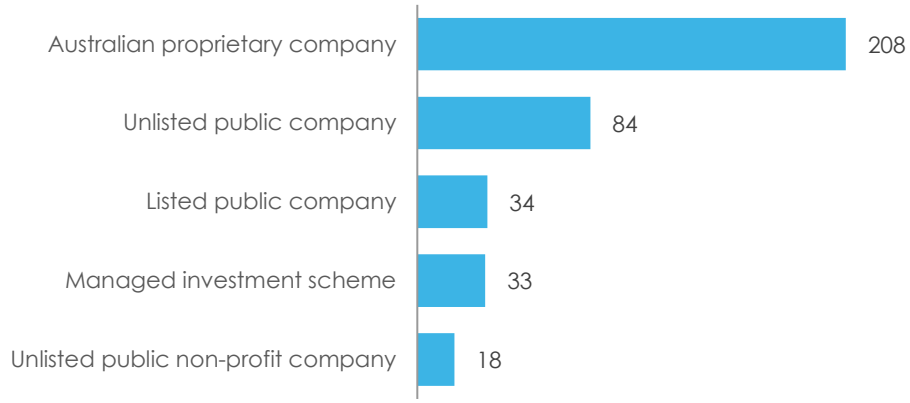
Figure 4 shows a breakdown of the type of notifications received, excluding the impact of AFS licensee notifications, and Figure 5 shows a breakdown of non-lodgements by entity types.

Figure 4: Category of section 311 auditor notifications and reports received



Note: See Table 13 for the data shown in this figure (accessible version).

Figure 5: Breakdown of non-lodgements by entity type



Note: See Table 14 for the data shown in this figure (accessible version).

Despite the number of notifications we received, we are concerned with the nature and extent of reporting by auditors under both section 311 and section 601HG of the Corporations Act. For example, we identified auditors who had failed to notify us of actual or suspected contraventions relating to:

- the non-lodgement of financial reports by previously grandfathered companies (25-169MR), and
- ongoing failures by responsible entities to comply with the compliance plan requirements for registered investment schemes: see Media Release (25-090MR) *ASIC uncovers widespread compliance plan deficiencies in the managed investment industry* (2 June 2025) and *Review of managed fund compliance plans: 'Failing to plan is planning to fail'* (2 June 2025)).

These findings are consistent with ASIC's wider work on company auditors. Before commencing our work on auditor independence (see REP 817) we emailed approximately 2,900 registered company auditors and called on them to proactively self-identify and self-report any non-compliance with their independence and conflicts of interest obligations. The response was disappointing and suggests that auditors are not doing enough to detect and report potential breaches. Our review indicated that at least 15 auditors had potentially breached their independence obligations. None of those auditors proactively reported to ASIC, though a small number later lodged reports after ASIC started making inquiries.

Of the wider auditor population not included in the review, only three had lodged reports of breaches of their independence obligations as at 31 August 2025.

What auditors should do

We remind auditors of their obligations to report contraventions to ASIC as we take these reports seriously and move to take enforcement action where warranted.

Our ability to do so hinges on auditors remaining vigilant in meeting their reporting obligations.

Auditors should:

- remain up to date with their reporting obligations under the relevant sections of the Corporations Act
- have established processes to manage their auditor reporting obligations and include it in the audit plan and program for each entity subject to an audit
- be mindful of matters that come to their attention that may indicate reportable contraventions, and
- notify ASIC of actual or suspected contraventions in a timely manner using our online breach reporting portal.

Examples of suspected contraventions and details on how to lodge auditor breach reports can be found in RG 34.

Appendix 1: Overview of surveillance approach

Surveillance approach

Financial reporting reviews and surveillances

We adopted an integrated approach to targeting financial reports for review and audit files for surveillances. Our approach recognised and leveraged the financial reporting chain and the important roles played by financial report preparers, directors and auditors.

- We targeted financial reports for review on a risk-based approach. Once selected, a financial report was subjected to a desk review. Where we identified concerns, we commenced a surveillance of the financial report and contacted the directors to make inquiries. We issued media releases when an entity made a material change to information previously provided to the market following our surveillance inquiries.
- We selected audit files for surveillance where we identified concerns from our financial report reviews and financial report surveillances. Our audit surveillances focused on key audit areas. We issued comment forms setting out our concerns and asked audit firms for their written responses including identifying remedial actions they intended to take to address our findings.
- We separately communicated the outcomes of our audit surveillances to the directors of each company including sharing the comment forms we issued together with the firms' responses and any remediation actions the firms intended to take in response to our findings and where we closed an audit surveillance without any findings.

Information Sheet 224 *ASIC financial reporting and audit surveillances* (INFO 224) sets out the details of the objective, scope and processes of our financial reporting and audit surveillance program including enforcement actions we may pursue.

External panel

We consulted an independent external panel on the method of classifying and reporting findings from our audit surveillances.

As part of its own review process, the panel discussed and tested the conclusions we reached on a small sample of our audit findings. For each of these findings, we provided the panel with an anonymised comment form which included the firm's detailed response to our findings. Based on the information provided to them, the panel challenged and provided feedback on our findings and conclusions.

The panel also reviewed and provided feedback on drafts of this report, including the analysis, presentation and conclusions of our surveillance findings.

The panel consisted of Mr Des Pearson AO, Ms Merran Kelsall AO and Ms Dianne Azoor Hughes. All panel members have extensive qualifications and experience in business, accounting and audit, and are considered independent of the audit firms and professional accounting bodies.

Population and our coverage

Around 29,000 entities are required to lodge financial reports with ASIC. Most entities that we review in any given year are chosen from those listed on ASX. We also select some non-listed entities that are important to the economy but are not traded on public markets, such as large proprietary companies.

The total number of ASX-listed entities during the year was about 2,300, including exchange traded funds (ETFs) and entities incorporated in foreign jurisdictions. These ETFs and foreign incorporated entities are not a primary focus for our financial reporting and audit program and are excluded from our risk-based targeting. As a result, the population of ASX-listed entities from which we selected our reviews during the year was about 2,150.

There are about 2,900 registered company auditors and 200 authorised audit companies registered in Australia. Of these, about 500 registered company auditors and 50 authorised audit companies audit one or more listed entities.

As part of our financial reporting surveillance activity we reviewed 254 financial reports, of which 220 were ASX-listed entities and 34 were large proprietary companies that were considered to be of public interest. These financial reports covered 24 industry groups with years ended from 31 December 2023 to 31 December 2024.

We conducted surveillances on the financial reports of 22 entities. As a result of our inquiries, 18 entities have made or agreed to make changes relating to 19 areas of concern in their financial reports.

We selected 10 audit files for surveillances where we identified concerns from our financial report reviews and financial report surveillances. This included where a change had been made to the financial report following our financial reporting surveillance or where we considered there may be a risk of material misstatement. Our audit surveillances related to audits of financial reports covered eight industry groups with years ended from 31 December 2023 to 31 December 2024.

Of the 10 audit surveillances we conducted, one of the audit surveillances had no findings, one audit surveillance had one audit finding, six audit surveillances had both audit findings and other findings and two surveillances had only other findings.

Appendix 2: Financial report lodgement – Compliance outcomes

Table 9: List of previously grandfathered large proprietary companies that lodged financial reports with ASIC following our inquiries

Company name	ACN
A.J. Bush & Sons (Manufactures) Pty Ltd	000 058 453
Abaris Pty Ltd	058 360 348
Ace Gutters Pty Ltd	001 885 276
Allworth Constructions Pty Ltd	002 565 353
Alto Pennant Hills Pty Limited	003 477 647
Auto Classic (W.A.) Pty Ltd	009 124 690
Barnwell Cambridge Administration Pty. Limited	003 914 421
Berkeley Commercial Company Pty Limited	000 260 364
C.R. Kennedy & Company Proprietary Limited	008 458 884
Ensign Laboratories Proprietary Limited	004 395 242
Fredon Industries Pty. Limited	003 361 297
George Lovitt (Manufacturing) Proprietary Limited	004 327 342
GME Pty Ltd.	000 346 814
GPC Electronics (Holdings) Pty Limited	003 070 148
GPC Electronics Pty Ltd.	002 088 164
Henry Haymes Proprietary Limited	004 201 638
Impact International Pty. Limited	007 593 240
Industrial Progress Corporation Pty. Ltd.	008 775 442
J Capital Pty Limited	002 102 669
J.K. International Pty. Ltd.	010 127 750
J.K. Properties Pty. Ltd.	060 265 438
Jarooka Pty Ltd	002 555 839
John L. Pierce Pty Ltd	000 083 581
Lowes – Manhattan Pty Ltd	000 307 666
M.C. Herd Proprietary Limited	004 289 927
Poulos Bros Seafoods Pty Limited	000 596 145
Preston Motors Proprietary Limited	004 082 213
Spendless Shoes Pty. Ltd.	008 152 850
Syesun Pty Ltd	001 805 830
Tynan Motors Pty Ltd	000 663 347

Appendix 3: Accessible versions of figures

Table 10: Concerns raised in financial reporting surveillances

Issue	No finding	Finding
Operating and financial review	1	12
Impairment and asset values	4	1
Financial report disclosures	0	3
Non-IFRS profit information	0	2
Revenue recognition	1	1
Debt classification	1	0

Note: This is the data shown in Figure 1.

Table 11: Audit surveillance findings

Findings	12 months to 30 June 2025
No findings	1
Audit findings only	1
Audit and other findings	6
Other findings only	2

Note: This is the data shown in Figure 2.

Table 12: Audit findings by key audit area

Key audit area	No finding	Finding
Revenue and receivables (incl ECL)	6	2
Impairment and asset values	4	2
Investments and financial instruments	0	2
Inventory and cost of sales	2	1
Expenses and payables	0	1
Loans and borrowings	0	1

Note: This is the data shown in Figure 3.

Table 13: Category of section 311 auditor notifications and reports received

Issue	12 months to 30 June 2025
Lodgement of financial reports	377
Compliance with accounting standards	176
Audit opinion	91
Directors' duties	61
Fraud/misconduct	17
Other	18

Note: This is the data shown in Figure 4.

Table 14: Breakdown of non-lodgements by entity type

Entity type	12 months to 30 June 2025
Australian proprietary company	208
Unlisted public company	84
Listed public company	34
Managed investment scheme	33
Unlisted public non-profit company	18

Note: This is the data shown in Figure 5.

Key terms and related information

Key terms

AASB	Australian Accounting Standards Board
accounting standards	Standards issued by the Australian Accounting Standards Board under section 334 of the Corporations Act
ASIC	Australian Securities and Investments Commission
audit findings	Where, in our view, auditors did not obtain reasonable assurance that the financial report as a whole was free of material misstatement
auditing standards	Standards issued by the Auditing and Assurance Standards Board under section 336 of the Corporations Act
auditor	An individual registered company auditor, the lead auditor (as defined under section 11F of the SIS Act and section 324AF(1) of the Corporations Act) of an audit firm, or the lead auditor of the audit company
CGU	Cash generating unit
Corporations Act	*Corporations Act 2001*, including regulations made for the purposes of that Act
financial reporting chain	The people and processes involved in the preparation, approval, audit, analysis and use of financial reports
financial reporting finding	Where an entity subsequently changed their financial information or restated their financial report, following an ASIC financial reporting surveillance
IFRS	International Financial Reporting Standards
INFO 224 (for example)	An ASIC information sheet (in this example numbered 224)
key audit area	An area of an audit selected for review by ASIC on a risk basis that generally related to a financial statement line
National Credit Act	*National Consumer Credit Protection Act 2009*
non-IFRS profit information	Profit information that is calculated on a basis other than International Financial Reporting Standards (IFRS), or is calculated according to IFRS but is adjusted
OFR	The operating and financial review required by section 229A of the Corporations Act to be prepared as part of the directors' report by all listed entities
other findings	Where we concluded there were no concerns in relation to risks of material misstatements, but the concerns warranted reporting to the auditor and company directors
REP 817 (for example)	An ASIC report (in this example numbered 817)

RG 34 (for example)	An ASIC regulatory guide (in this example numbered 34)
RSE	Registrable superannuation entity. Has the meaning given in s9 of the Corporations Act, when used in Chapter 2M
SIS Act	*Superannuation Industry (Supervision) Act 1993*
TCFD	Taskforce on Climate-Related Financial Disclosures

Related information

Legislation

Corporations Act 2001

Superannuation Industry (Supervision) Act 1993

National Consumer Credit Protection Act 2009

Reports

REP 816 *Accounting for your super: ASIC's review into the financial reporting and audit of super funds*

REP 817 *Building trust: Auditors' compliance with independence and conflict of interest obligations*

Regulatory guides

RG 34 *Auditor's obligations: Reporting to ASIC*

RG 230 *Disclosing non-IFRS financial information*

RG 247 *Effective disclosure in an operating and financial review*

RG 260 *Communicating findings from audit files to directors, audit committees or senior managers*

RG 280 *Sustainability reporting*

Information sheets

INFO 184 *Audit transparency reports*

INFO 196 *Audit quality – The role of directors and audit committees*

INFO 222 *Improving and maintaining audit quality*

INFO 223 *Audit quality – The role of others*

INFO 224 *ASIC financial reporting and audit surveillances*

Accounting, Auditing and Ethical standards

The accounting and auditing standards cited in this report are not intended to be an exhaustive list.

AASB S2 *Climate-related Disclosures*

AASB 9 *Financial Instruments*

AASB 10 *Consolidated Financial Statements*

AASB 15 *Revenue from Contracts with Customers*

AASB 101 *Presentation of Financial Statements*

AASB 102 *Inventories*

AASB 128 *Investments in Associates and Joint Ventures*

AASB 136 *Impairment of Assets*

AASB 138 *Intangible Assets*

AASB 140 *Investment Property*

ASQM 1 *Quality Management for Firms that Perform Audits or Reviews of Financial Reports and Other Financial Information, or Other Assurance or Related Services Engagements*

ASA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Australian Auditing Standards*

ASA 220 *Quality Management for an Audit of a Financial Report and Other Historical Financial Information*

ASA 230 *Audit Documentation*

ASA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of a Financial Report*

ASA 315 *Identifying and Assessing the Risks of Material Misstatement*

ASA 330 *The Auditor's Responses to Assessed Risks*

ASA 500 *Audit Evidence*

ASA 505 *External Confirmations*

ASA 530 *Audit Sampling*

ASA 540 *Auditing Accounting Estimates and Related Disclosures*

ASA 570 *Going Concern*

APES 110 *Code of Ethics for Professional Accountants (including Independence Standards)*

Media releases and news articles

24-110MR *ASIC restricts Energy World Corporation Ltd from issuing a reduced-content prospectus* (23 May 2024)

24-277MR *Lead auditor of Greensill Group suspended by Companies Auditors Disciplinary Board until June 2026* (13 December 2024)

25-079MR *ASIC announces financial reporting and audit focus areas for FY 2025-26* (19 May 2025)

25-090MR *ASIC uncovers widespread compliance plan deficiencies in the managed investment industry* (2 June 2025)

Review of managed fund compliance plans: 'Failing to plan is planning to fail' (2 June 2025)

25-091MR *ASIC imposes conditions on the registration of Sydney company auditor* (2 June 2025)

25-109MR *Registration of the auditor of the FY2018 financial statements of iSignthis Ltd cancelled by Companies Auditors Disciplinary Board* (25 June 2025)

25-112MR *Brite Advisors auditor admits failures and surrenders registration* (27 June 2025)

25-122MR *Review auditor of the FY18 financial statements of iSignthis Ltd admonished by the Companies Auditors Disciplinary Board* (30 June 2025)

25-169MR *ASIC increases its focus on lodgement of financial reports after finding poor compliance by grandfathered companies* (20 August 2025)

Regulatory guide reissued on auditor reporting obligations to ASIC (18 September 2025)

25-210MR *Financial services company Bell Group Holdings restates 2023 accounts following concerns raised by ASIC* (23 Sep 2025)

ASIC updates guidance on communicating audit findings to directors, audit committees and senior managers (15 October 2025)

Other

ASIC enforcement outcome reports

ASIC sustainability reporting webpage

Court enforceable undertakings register